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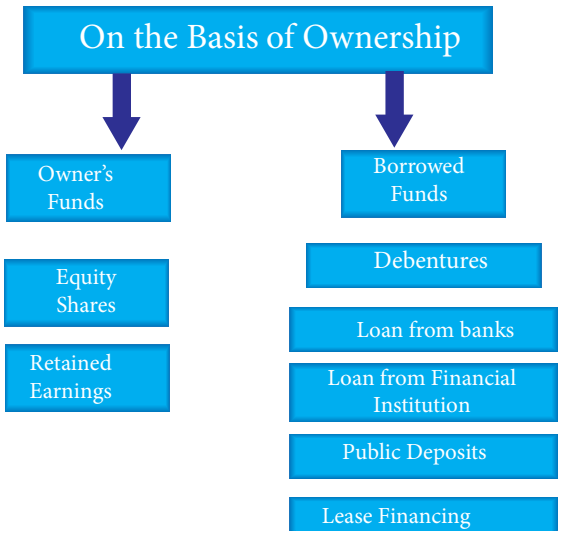
provide long term loans on the security of assets of the business firms. Nowadays the formalities for taking long term loans are simplified by the Reserve Bank of India.

6) The Loans from Financial Institutions

Central and State Governments have established various financial institutions in India to provide finance to business enterprises for a longer period. These institutions aim at promoting the industrial development of a country. In addition to loan assistance, they conduct market surveys, provide technical assistant and supply managerial talents to borrowing enterprises to manage the companies. They mainly provide large funds for longer period for financing expansion, reorganisation and modernisation of an enterprise. They allow longer repayment period to repay the loan. Hence the borrowing companies do not feel the stress of repayment. Financial institutions provide term loans mostly to highly rated corporates by the credit rating companies.

On the Basis of Ownership

Business finance can be divided into two categories based on ownership of funds.



1. Owner's Funds

Owner's funds mean funds which are provided by the owner of the enterprises who may be an individual, or partners or shareholders of a company. The profits reinvested in the business (ploughing back of profit or retained earnings) come under owner's funds. These funds are not required to be refunded during the life time of business enterprise. It provides the owner the right to control the management of the enterprise.

2. Borrowed Funds

The term 'borrowed funds' denotes the funds raised through loans or borrowings. For example debentures, loans from banks and financial institutions, public deposits, trade credit, lease financing, commercial papers, factoring, etc. represent borrowed funds.

1. These borrowed sources of funds provide specific period before which the fund is to be returned.
2. Borrower is under legal obligation to pay interest at given rate at regular intervals to the lender.
3. Generally borrowed funds are obtained on the security of certain assets like bonds, land, building, stock, vehicles, machinery, documents of title to the goods, and the like.

On the Basis of Generation of Funds

The sources of funds can be grouped into two categories based on generation.

1. Internal Sources

This includes all those sources generated from within the business enterprises. For instance retained earnings, collection